

ious. AI algorithms can identify fraudulent claims with greater accuracy, reducing costs and protecting honest policyholders. AI can analyse weather patterns, traffic data, and other factors to predict potential risks and help policyholders mitigate them,” says Dhirendra Mahyavanshi, CEO and Co-founder of online insurance comparison platform Turtlemint.

AI can also help analyse macro trends. For instance, in the case of parametric products, AI could help identify areas with heavy rainfall on specific dates, facilitating on-the-go claim processing.

“Blockchain technology could be explored to check the authenticity of records and this in turn would increase transparency. Cloud computing has revolutionised the business through benefits of data storage, enabling remote work, scale and cost savings as well,” says Padalkar.

242

THE RISE OF INSURTECH

The advent of insurtech firms—start-ups that use technological tools for insurance—has been a disruptive force, challenging traditional models and prompting innovative solutions. As insurtech continues to evolve, traditional insurers may need to adapt and collaborate with these innovative players to stay relevant.

“One example of this is the National Health Claims Exchange platform, which will help bring transparency, faster claim processing, effectiveness, and an overall better and worry-free customer experience for our citizens,” says Singhel. The National Health Authority has created a digital health claims platform, which functions as a gateway for the exchange of claims-related information.

Besides, such collaboration may also be required considering the trend towards personalised products. These customisable policies

ROOM FOR GROWTH

- Life insurance penetration decreased to 3% in 2022-23 from 3.2% in 2021-22
- Total insurance penetration has increased from 3.71% in FY19 to 4% in FY23

LOW INSURANCE PENETRATION RATE IN INDIA			
YEAR	LIFE INSURANCE	GENERAL INSURANCE	TOTAL
2022-23	3.00%	1.00%	4.00%
2021-22	3.20%	1.00%	4.20%
2020-21	3.20%	1.00%	4.20%
2019-20	2.82%	0.94%	3.76%
2018-19	2.74%	0.97%	3.71%

SOURCE IRDAI ANNUAL REPORT



“Currently, the insurance sector predominantly focusses on major cities and metropolitan areas. However, this trend is set to change with Bima trinity ”

TAPAN SINGHEL
MD & CEO, BAJAJ ALLIANZ
GENERAL INSURANCE
COMPANY

can tailor coverage to individual preferences, behaviours, and data, like pay-as-you-drive policies, which only charge customers for the distance driven. “Looking ahead to the next five years, the Indian motor insurance landscape is anticipated to undergo significant transformations. There might be an increased focus on adapting to autonomous vehicles, potentially prompting a reassessment of insurance models to accommodate these changes,” says Neel Chheda, Executive Vice President and Head–Auto and Actuarial Analytics at Tata AIG General Insurance. “There could be an emphasis on redefining liabilities among drivers, manufacturers, and AI systems, reshaping the structure of insurance policies,” he adds.

Such usage-based products could also be used to promote eco-friendly initiatives by offering incentives or reduced premiums for owners of electric vehicles, says Chheda.

That brings us to climate change. Demand is expected to surge for